

Most of the time my answer is, "Hell, no." But every once in a while I say to myself, "God, I bet I really could do something with this company." Those are the stocks I buy with the greatest conviction and excitement.

I used to work with a brokerage analyst who covered a company called Systems & Computer Technology. Acorn owned the stock, so we talked to this nice young man frequently. One day he told me, "I'm not going to be talking to you again as an analyst." I asked him, "What happened? Did you get indicted again?" He laughed and told me, "No, I'm going to work for Systems & Computer Technology." What an endorsement! I bought more of the stock.

Very often, a small company is exciting because its management is exciting, which is why I sometimes fantasize about the challenge of running a company myself. Superior managers can really exploit a niche and sustain high profitability. Is there a professional investor anywhere—at least any who invests on company fundamentals instead of stock momentum or chart revelations—who doesn't profess that he puts great store in "good management"? But it's hardly ever defined. Too often among Wall Street research departments it means glib management. Analysts praise the managers who cooperate with them, who reveal titillating goodies, such as monthly sales figures. Taciturn management is definitely *not* considered good.

Good management to Wall Street also means nothing more than a company with three consecutive quarters of rising earnings. Make it four quarters and you have *great* management.

But exciting performance numbers by themselves aren't enough to qualify managers as superior, at least not in my book. One good year or two could be a fluke. Or maybe current management's predecessors set operations up so well that the incumbents haven't had time to wreck everything. If you judge management solely by a company's numbers and then pay more for the stock because of "good management," you are guilty of what bridge players call the double-counting of face cards.